

Our game plan for the new year... plus, how to extend your portfolio “insurance”

Happy New Year from myself (Stephen), Chris, and the whole RiskHedge team.

I hope you had a wonderful holiday break with family and friends. I certainly did.

We had Christmas dinner at our house: pigs in blankets, honey-glazed ham, and sticky toffee pudding washed down with a glass (or two) of Barolo.

I don't enjoy taking much time off, so I was back at my desk on December 26, podcasting with RiskHedge publisher Dan Steinhart.

This past year was awesome in many ways.

It was jam-packed with business trips. I traveled to Dubai... Abu Dhabi... Spain... New York... London... Austin... San Francisco... Washington, DC... Boston... and Nashville.

In this month's issue

Be greedy when others are fearful

What to expect in 2025

Our 3-step game plan for the new year

What we got right this year

What we got wrong

Action to take: Extend your portfolio “insurance”

Key prices

S&P 500	5,881.63
1-Month (Loss) -2.50%	
Nasdaq	19,310.79
1-Month (Gain) +0.48%	
Russell 2000	2,230.16
1-Month (Loss) -8.40%	
Dollar Index	108.48
1-Month (Gain) +2.59%	
US 10-Year Yield	4.573%



A RiskHedge Publication

We also welcomed our third child (George) into the world:



I've lived on four continents. Now, my wife and I are off to continent #5: Asia. In a few weeks, we'll be unpacking boxes in Abu Dhabi. This move from Europe has been years in the making, and I'll share our journey with you as it unfolds.

It was also a fantastic year for the markets.

The S&P 500 jumped 23%, and our *Disruption Investor* portfolio performed even better. Our strategy of investing in great businesses profiting from disruption paid off. We owned two of the three best-performing S&P 500 stocks of 2024: **Nvidia (NVDA)** and **Palantir Technologies (PLTR)**.

Congratulations to *Disruption Investor* members who beat the market alongside us.

Here's what we see coming in 2025...

Be greedy when others are fearful

Warren Buffett famously advised investors to "be fearful when others are greedy, and greedy when others are fearful."

We've lived by those words for the past two years.

Flashback to September 2022: Markets were crumbling, and inflation was surging. While most investors ran for the exits, we planted our flag, saying: “Using decades of stock market history as our guide, now is the time to buy.”

Markets bottomed weeks later, and the S&P 500 has soared 65% since.

Fast-forward to January 2024: Headlines screamed about inflation, interest rates, recessions, and election chaos. Yet we stayed steady, focusing on great businesses riding disruptive megatrends.

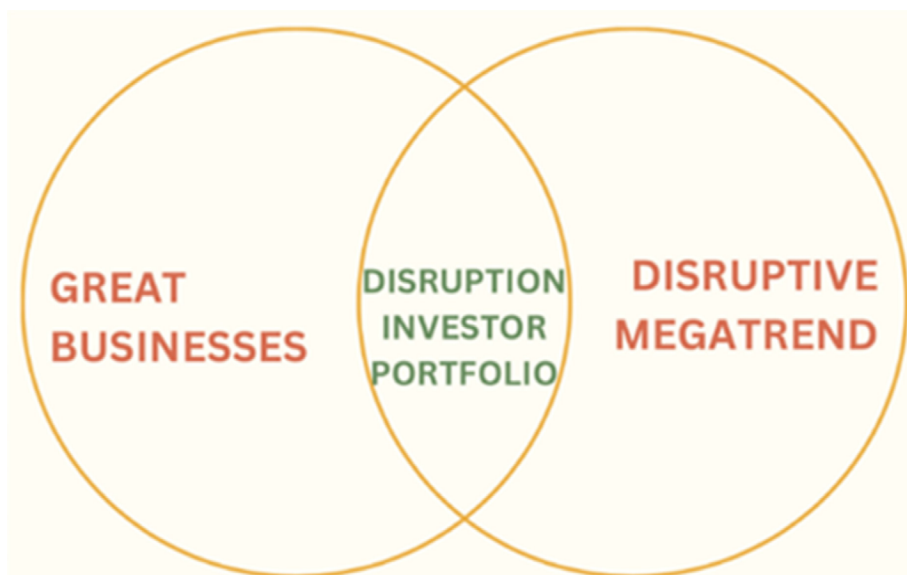
And we captured big gains by taking “Free Rides” on Palantir, Nvidia, **Vertiv Holdings (VRT)**, **Arista Networks (ANET)**, and **Taiwan Semiconductor (TSM)**.

We don’t own a crystal ball. Our edge isn’t predicting the future. It’s seeing the present with razor-sharp clarity.

We stayed on the right side of the market in 2023 and 2024 by first and foremost following the data.

Before making our inflation “call” in late 2022, we studied every bout of inflation over the past 70+ years. Our research showed that, since World War II, every time inflation began falling, stocks climbed. No exceptions.

Second, we never wavered from our core strategy: investing in great businesses profiting from disruption. Only stocks hitting the sweet spot in our Venn diagram make it into the *Disruption Investor* portfolio:



Over three decades’ worth of collective investing experience has taught Chris and me that if you pick great businesses profiting from disruptive megatrends... the rest takes care of itself.

What to expect in 2025

January is always a good time to pause and set expectations for the year ahead. And expectations may be our biggest problem in 2025.

US stocks spoiled us with back-to-back years of 20%+ gains. That's rare air. It's only happened three other times in the past 70 years. Expecting 2025 to be another 20%+ year is asking a lot of the market gods.

Over the holidays, we stepped back and dug deep into the data. And there are four warning lights flashing red, which suggests caution is warranted.

#1: Too many record highs.

The S&P 500 made 57 new all-time highs in 2024, the most since 2021.

We studied nearly 100 years of market history, and the pattern is clear. When stocks notch 50+ record highs in a year, they typically stumble the next.

Since 1928, this has happened seven times. The following year, stocks fell an average of 3%. Only two of the seven years were positive, as this table shows:

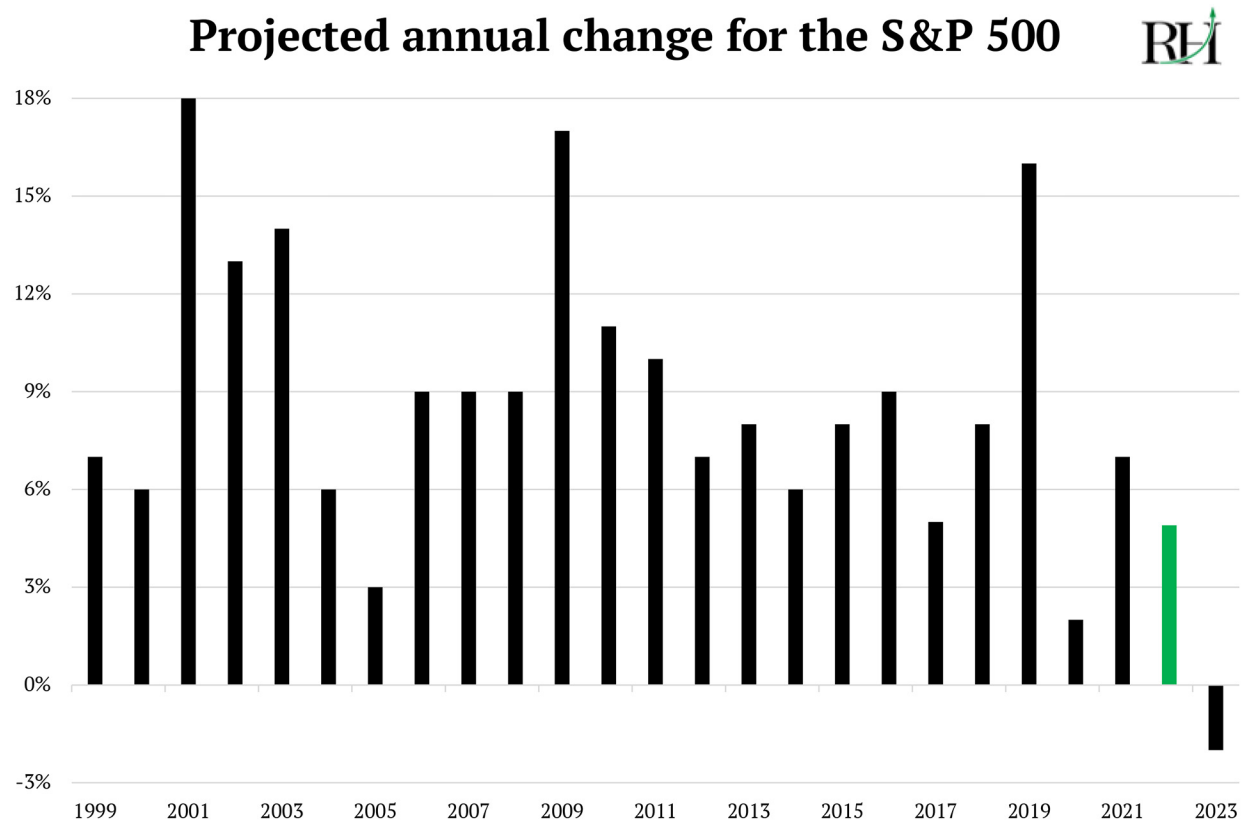
Year	# of record highs	Next year % change
1928	64	-11.90%
1961	55	-11.80%
1964	65	9.10%
1995	77	20.30%
2014	53	-0.70%
2017	62	-6.20%
2021	70	-19.40%
2024	53	
Average		-3.00%

#2: Wall Street has turned bullish.

Wall Street's crystal ball is cracked. Let's look at its recent track record...

2022: It predicted stocks would rise 5%. Stocks crashed 18%.

2023: For the first time ever, it predicted stocks would fall. Instead, the S&P 500 soared 26%:



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Source: Bloomberg

2024: It aimed way too low again, forecasting the S&P 500 would hit 4,860. The market blew past that by over 20%.

Now, for 2025, Wall Street has done a complete U-turn. Every major firm—yes, every single one—predicts stocks will rise. Not a single down-year forecast in sight.

This universal bullishness should set off alarm bells. The stock market runs on expectations. When everyone expects gains, those expectations become harder to beat.

History tells us a clear lesson: You usually make money by doing the opposite of what Wall Street expects.

#3: It's starting to feel frothy.

Let's go back to when stocks bottomed in late 2022.

The S&P 500 had plunged 20% since January. Inflation burned at 8%. Fed Chair Jerome Powell wasn't just fighting inflation; he was ready to crash the economy to kill it. The American Association of Individual Investors survey showed the bleakest outlook since 2008's financial crisis.

But that's exactly when stocks took off. With expectations in the gutter, there was nowhere to go but up. The S&P 500 has rocketed 60%+ since those dark days.

The mood couldn't be more different today.

A record-high share of investors think there's less than a 10% chance of a stock market crash in the next six months. Meanwhile, a record-high number of investors think stocks will rise over the next year. Everyone's bullish.

In early December, several career pessimists (we won't name names) finally threw in the towel and turned bullish. Ominous.

Financial journalists joined the party, too. *Barron's* is literally cheering for a bubble: "The stock market is surging as the year winds down and shows no sign of slowing in 2025. Investors should embrace the expanding bubble."

BARRON'S
Topics ▾ Stock Picks Lists & Rankings Magazine Data Advisor

Why the Stock Market Could Gain Another 20% in 2025

Source: Barron's

The Economist is gushing about America's prospects:



Source: The Economist

As I've written before, when financial journalists turn cheerleaders, it's usually time to turn cautious. [They have an uncanny ability to nail market tops and bottoms, but not in a good way.](#)

#4: The presidential clock resets.

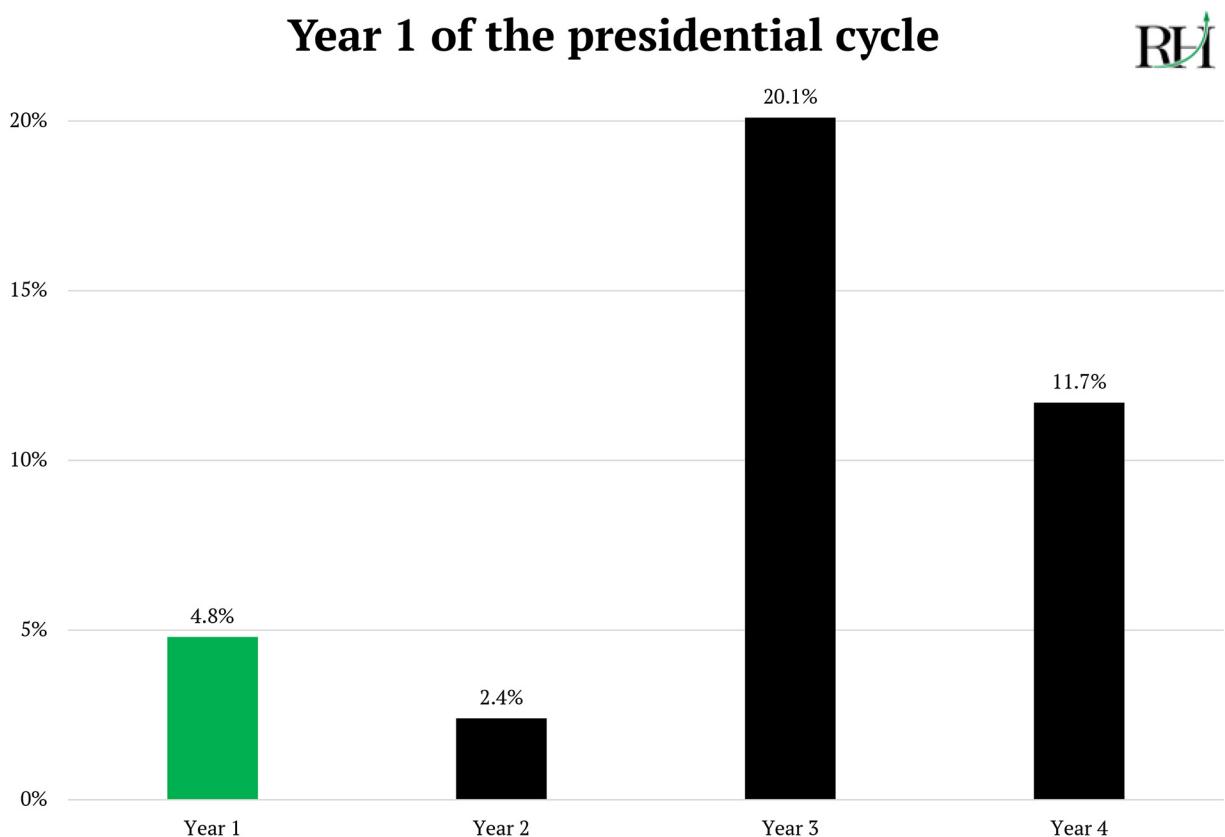
Some folks think making stock market forecasts based on election cycles is voodoo.

But stocks have followed the four-year presidential cycle to a tee over the past few years. This pattern was one of our secret weapons when [we pounded the table to buy stocks in late 2022](#), right when Wall Street's finest were waving red flags.

Now the cycle resets, which likely means there's volatility ahead. Year one of a presidential term typically delivers the second-weakest returns of the four-year cycle.

While stocks still tend to inch higher (with an average gain of 4.8%), there's a 45% chance they'll fall instead. It's a coin toss.

A time for caution.



© RiskHedge

Source: LPL Research Factset

Our 3-step game plan for the New Year

There's a lot to be excited about in 2025.

Trump's deregulation push could knock down the #1 barrier that's been holding America's economy back for 50 years...

We're in the early innings of a nuclear energy renaissance.

Artificial intelligence (AI) is reshaping work, boosting earnings, and making us all more productive...

Fast-growing industries like crypto and drones are escaping regulatory hell...

And robotaxis are finally rolling out across American cities.

For months, I've been touting Ronald Reagan's famous line: "It's Morning in America." 2025 looks bright. Really bright. But the data tells us it could be a volatile year for investors.

Expect at least a 10% drawdown at some point. That's happened in two out of every three years going back to 1928. And with investor expectations so high, don't be surprised if stocks dip further.

Our research suggests we're in the middle of a long-term bull market. But no matter how bullish we are, we still invest like we might be wrong. Let me explain...

First, don't lose sight of why we invest in the first place. We invest so we can live comfortably... give our kids the best possible opportunities... enjoy wonderful vacations... and eventually live fulfilling retirements.

We invest to build lasting wealth.

We've made a lot of profits in the stock market over the past two years. To make the most of the new wealth you've generated, you must avoid significant losses.

In my experience, this is the #1 thing that separates investors who grow rich from those who see mediocre results. There are a lot of "one-hit wonder" investors who strike it big during a stock market rally... only to give it all back on the other side.

We must respect the market and remember stocks fluctuate. The investing gods spoiled us with 57 new highs this year. They won't always be this generous.

So, what's the game plan?

First, clean house. If you own stocks you only "kinda, sorta" like, now's the time to sell. With markets near record highs, this is a golden exit opportunity.

That doesn't mean sell everything and head for the hills. Think about this: If you sell everything and stocks drop 20%, will you have the courage to buy back in? Probably not. Fear has a way of paralyzing us at exactly the wrong moment.

Second, continue to invest in great disruptors.

Our edge is owning great, disruptive businesses in long-term megatrends. Over years, companies solving real problems and generating strong profits march forward regardless of market conditions. They power through volatility.

Third, to protect against downside volatility, we'll continue to "hedge" our portfolio with puts.

Buying stock market insurance also gives us peace of mind. Like home insurance, we hope it never pays off. But it'll allow us to navigate potential volatility with confidence. It also means we can stay invested in great businesses through market turbulence.

Chris will walk you through our strategy below.

While we see reasons for caution ahead, we're not forecasting doom.

We're maintaining our long-term investment approach while adding layers of protection. This isn't about timing the market. It's about managing risk while staying invested in businesses we believe in.

Being prudent in times like these will let you come out on top no matter where the market is headed next.

Whatever 2025 throws at us, Chris and I will be here to guide you every step of the way.

Take the right elevators

I (Chris) want to offer my own congratulations to all the *Disruption Investor* members who beat the market again in 2024.

Our portfolio gained 25.85%, while the S&P 500 gained a very respectable 23.31%.

It's not easy to beat the market, especially in such a strong year. So you deserve a big pat on the back.

As Stephen mentioned, part of what helped us outperform the S&P 500 the past two years is the fact that we held the index's #1 best-performing stock in our portfolio both years: NVDA in 2023 and PLTR in 2024.

Goldman Sachs CEO David Solomon says the key to a successful career is "stepping in the right elevators."

The same idea applies to investing. Which stocks you own *really* matters.

That's especially true today because diversification doesn't work like it used to.

Today's most successful stock investors don't follow a blind, broad diversification strategy. They make more concentrated bets on fewer high-conviction plays.

Just four stocks make up more than 60% of Warren Buffett's Berkshire Hathaway portfolio, for example. I think he knows a little something about making money in stocks.

Our research tells us that investing in 15–20 stocks with great businesses profiting from disruptive megatrends is the way to win.

That's where the idea for our **Disruptor 20** comes from. And it's what set the stage for how some of our calls played out...

What we got right this year

One of our best calls was buying the year's top-performing S&P 500 stock early in the second quarter, despite what the headlines read.

On May 2, [we sent you an issue of *Disruption Investor*](#) titled, "The one software stock to buy for the next decade." In it, we laid out the investment case for Palantir.

Palantir's Gotham software platform has been helping the US and other government customers locate and track bad guys for nearly two decades.

Gotham collects all the data—satellite imagery and analytics, other video and sensor data, intelligence reports, bank records, flight manifests, social media posts, etc.—from all the different entities involved in hunting for terrorists (the Department of Homeland Security, the Defense Intelligence Agency, the CIA, the FBI, the NSA, etc.) and brings it under one centralized system.

This allows it to identify connections and patterns—which otherwise couldn't be made—to find and monitor potential threats.

It can show relationships among suspects, timelines of their activities, and even predict future actions or targets. And it presents key insights as easy-to-interpret graphics.

So, it's like a clairvoyant super-assistant with perfect situational awareness.

A former US Marine said, "It's the combination of every analytical tool you could ever dream of. You will know every single bad guy in your area."

Palantir's Foundry software platform brings the same insight to the company's commercial business.

Like Gotham, Palantir designed Foundry to collect, organize, and analyze large amounts of data from many different sources. But it's optimized for businesses instead of government agencies.

Both the government and commercial businesses got a big shot of adrenaline with Palantir's Artificial Intelligence Platform (AIP).

As we discussed in the original writeup on Palantir, the company has incorporated AI since Day 1. Both Gotham and Foundry incorporate AI for advanced data analytics. But AIP takes Palantir's AI offerings to the next level, significantly enhancing the capabilities of its software platforms.

You can think of AIP as a bridge and universal translator of sorts. It allows outside AI tools to come into your network and talk to/work with Foundry and Gotham and your private data.

AIP is a big reason why we recommended Palantir back in early May, despite headlines like this:

- "Jefferies Downgrades Palantir on Valuation Concerns" —January 2024
- "HSBC Lowers Palantir Rating Due to Rich Valuation" —February 2024
- "Analysts Predict Significant Downside for Palantir Stock" —March 2024

Palantir's AIP faced strong criticism. Early in 2024, many analysts doubted the company could actually make money from the platform because they seemed to view it as just another AI offering among a sea of similar offerings.

In January 2024, for example, Jefferies analyst Brent Thill said he was skeptical the product would help the company's financials in a meaningful way on a near-term basis. So Palantir "[would] have to find other ways to catalyze commercial growth acceleration."

But we saw (and continue to see) AIP as disruptive. It's not just another AI offering. No other company's tech offers the same capabilities in a secure environment.

Palantir CEO Alex Karp says, "AIP has transformed our business."

Karp credits AIP for year-over-year US revenue growth (across both the commercial and government businesses) of 44% in the third quarter of 2024 to \$499 million.

Meanwhile, Palantir's stock has gained about 240% since we first recommended it in early May.

Palantir was part of a larger theme we got right starting late last year and throughout 2024: Doubling down on AI.

We titled our [November 2023 issue of Disruption Investor](#): "It's time to double down on AI (3 new recommendations)."

We've recommended eight AI stocks since then, including the three recs from that issue:

- 1. Arista Networks (ANET) – November 2023**
- 2. Symbotic (SYM) – November 2023**

- 3. Synopsys (SNPS) – November 2023**
- 4. Vertiv Holdings (VRT) – February 2024**
- 5. Fabrinet (FN) – March 2024**
- 6. Palantir Technologies (PLTR) – May 2024**
- 7. Tesla (TSLA) – July 2024**
- 8. Broadcom (AVGO) – October 2024**

It's instructive to classify each of these stocks (and all other AI stocks) according to its layer in the AI value chain.

A value chain is simply the set of steps, phases, or stages that add value to a product during its journey of being made.

Think about your favorite pizza restaurant, for example. Before it serves you a hot, delicious pizza, there are several steps required—each of which adds value to the final product.

First, farmers must grow wheat for flour and raise cows to make the milk for cheese.

Next, manufacturers turn these raw ingredients into flour, cheese, and tomato sauce—adding more value by making them readily usable.

Then distributors get the ingredients to your local pizza place, adding value by making them available where and when they're needed.

Finally, your pizza restaurant works its magic. It combines the ingredients, adds its special secret touches, bakes it in its special ovens, and serves it to you hot and fresh.

Each step along the way—from farm to table—makes the pizza more valuable than it was before.

Every product or service goes through similar stages where value gets added. Each stage depends on the ones before it, and each adds its own special value to create the final product.

Understanding value chains helps us see where the most important or profitable parts of a business might be. They also help us understand how different companies fit into broader ecosystems.

We classify AI stocks based on the three broad layers of the AI value chain:

1. The enabling layer
2. The intelligence layer
3. The application layer

The enabling layer provides the foundation—the bedrock that everything else relies on. In other words, the “building blocks” that make AI possible. It covers:

- The computing hardware like Nvidia’s GPUs.
- The networking hardware and software provided by Arista Networks and others.
- The cloud service platforms like Amazon Web Services and Microsoft Azure.
- The power and thermal management solutions provided by Vertiv and others.
- The data storage and management tools provided by **Pure Storage (PSTG)** and others.

Without the foundation provided by the enabling layer, AI wouldn’t exist.

If we stick with our restaurant analogy from earlier, the **enabling layer** is like the infrastructure that makes restaurants possible—the electricity grid, water systems, and food supply chains.

The **intelligence layer** is like the recipes, cooking techniques, and chef expertise in our restaurant analogy. This layer contains the core AI models and algorithms. Think of the large language model (LLM) providers like OpenAI (the company behind ChatGPT) and Anthropic (the company behind Claude).

These companies create the “intelligence” that other businesses can then use to build specific applications. Just as many restaurants might use similar cooking techniques but create different dishes, many AI applications use the same underlying models but serve different purposes.

The intelligence layer also includes AI frameworks like **Google’s (GOOG)** TensorFlow and **Meta Platforms’ (META)** PyTorch. Developers use these tools to build AI models like Claude 3.5 and GPT o1.

You can think of these frameworks sort of like sets of LEGOs.

Google’s TensorFlow is like a LEGO set that comes with detailed instructions and pre-made pieces for common structures. When you build with TensorFlow, you need to plan out your entire model design (like laying out the LEGO instructions) before you start building.

Meta's PyTorch is more like a bucket of LEGO pieces that lets you build and modify as you go.

Frameworks like these can achieve the same result... just like how different LEGO-building approaches can create the same final structure. The choice comes down to the specific needs and preferences of the developer.

The **application layer** is like the actual restaurant itself in our analogy... the place where customers directly interact with the end product. In AI, these are customer-facing applications and services built using the intelligence layer, powered by the enabling layer.

The application layer is where AI meets real-world problems. It includes all the AI-driven products and services that people and businesses use every day. These solutions leverage AI behind the scenes to generate text and images, automate tasks, and improve customer service. Examples include Claude, ChatGPT, Microsoft Copilot, Palantir's AI software platforms, and **Salesforce's (CRM)** Einstein AI CRM (customer relationship management) tools.

The AI value chain flows upward through these layers. The enabling layer makes the intelligence layer possible, which in turn powers the application layer. But the investment dynamics can be quite different at each level:

- The enabling layer often requires massive capital investment but can create strong moats through hardware advantages and scale.
- The intelligence layer typically needs significant research and development investment but can generate valuable intellectual property.
- The application layer typically requires less capital but faces more competition and must focus on user experience and market fit.

Understanding these layers can help us identify where different opportunities and risks may lie.

For example, the enabling layer might offer more stable, infrastructure-like returns, while the application layer might provide higher growth potential but with more competition and market risk. And the intelligence layer may present a middle ground, with significant technical barriers to entry but also requiring continuous innovation to stay competitive.

If we classify the eight AI stocks we've added in the past year or so according to their layer of the AI value chain, here's what we get:

Enabling Layer

- **Arista Networks:** Makes high-speed networking hardware and software infrastructure that enables AI by quickly and efficiently moving massive amounts of data among computing resources throughout networks and data centers.
- **Synopsys:** Engineers use the company's Electronic Design Automation (EDA) software to design complex AI chips. In other words, Synopsys' tech is needed before Taiwan Semiconductor can build such chips, before cloud providers can build their data centers, and before AI models can be trained.
- **Vertiv Holdings:** Provides the critical power management and cooling systems that keep data centers running. AI computing generates enormous amounts of heat and requires massive amounts of power—much more power than traditional computing. Without Vertiv's solutions, the powerful AI chips would overheat and fail.
- **Fabrinet:** Provides precision manufacturing and assembly services for optical components that other companies design. These components are crucial for the high-speed data transmission AI systems require.
- **Broadcom:** Big tech is now spending billions of dollars developing their own AI chips (custom ASICs) so they're not beholden to Nvidia for AI inference. And they're teaming up with Broadcom to do it. For example, Broadcom has codesigned every generation of Google's custom AI chips called TPUs (Tensor Processing Units).

Intelligence Layer

(None)

Application Layer

- **Symbotic:** Brings AI into the physical world of warehouse automation. Imagine a highly choreographed dance where robots and AI work together to store and retrieve items in a warehouse with incredible efficiency. Symbotic's AI controls fleets of robots as they speed around warehouses, pick up items, and organize them in the most efficient way possible.
- **Palantir Technologies:** The company's Gotham and Foundry software—combined with its AIP—help government and commercial organizations make sense of massive amounts of complex data, make decisions, and take actions based on those insights.

You probably noticed I didn't include Tesla in any of the AI value chain layers above. That's because Tesla's unique. It's made big investments across all three layers.

In the enabling layer, Tesla's made significant investments in developing its own specialized AI hardware. The company created its Dojo supercomputer specifically for training AI models on the massive amounts of data collected from its vehicles. It's also developed custom AI chips for its vehicles, rather than relying on third parties.

In the intelligence layer, Tesla is developing sophisticated AI models for various purposes. Its neural networks process and learn from the enormous amount of real-world driving data from its vehicles. These models handle everything from basic image recognition (identifying objects in the road) to complex decision-making (like determining when to change lanes or respond to traffic situations).

Tesla has also developed its own AI frameworks to build and train models, particularly in the areas of computer vision and real-world physics predictions.

In the application layer, Tesla implements its AI in its customer-facing Full Self-Driving (FSD) systems and Optimus robots.

You also probably noticed that most of our AI investments fall in the enabling layer of the AI value chain. That makes sense because we're still in the early days of AI's story, and the enabling layer must be built before the other layers. We expect to recommend more stocks in the other two layers—especially the application layer—in the coming months and years.

As you know, not all of our AI investments have worked out. We took a 13% loss on Symbotic. But most of our AI plays have generated big gains. And it was clearly the right decision to double down on AI when we did.

A recap of our 2024 predictions

Before moving on to what we got wrong this year, we'd like to highlight a couple of the "10 surprises for 2024" we published in our [January 2024 issue of *Disruption Investor*](#).

"Joe Biden drops out of the presidential race. He's replaced by California governor Gavin Newsom, who's defeated by Donald Trump."

Obviously, we didn't nail that prediction entirely. But we got pretty close.

Biden was replaced by Kamala Harris, who was defeated by Trump.

As we've mentioned countless times, we don't do politics in *Disruption Investor*. Our research clearly shows that mixing politics and investing is not the way to win. Stocks have done great, mediocre, and bad under both Republican and Democrat presidents.

What *does* matter to us as investors is policy. That's why we're bringing up our presidential prediction.

We'll be keeping a close eye on the new administration's policies and how they could impact the disruptive megatrends we invest in.

So far, things look good. Trump's not even back in the White House yet and excitement around his crypto policy has lit a fire under that market.

But things aren't going to be that easy for the next four years... they never are.

"The S&P 500 surges past 5,000 for the first time. Stocks finish the year up 20% after correcting 15% early in 2024."

Again, we didn't get that exactly right... but almost.

The S&P 500 did surge past 5,000 for the first time... in just the second month of the year. And stocks did finish the year up 20%... 24%, actually.

But there was no 15% correction early in 2024. In fact, there were no corrections at all—defined as a decline of 10% or more in price from its most recent peak—the whole year.

We don't know if we'll see a correction in 2025. But we certainly expect one. That's why we provide actionable guidance below on how to extend your portfolio "insurance."

What we got wrong

Of course, we didn't get everything right this year...

That's inevitable. Mistakes are part of the process. The key is to learn from them and not make the same ones in the future.

We like to view mistakes as the tuition we pay for future investment success.

The biggest thing we got wrong in 2024: biotech.

One of the "10 surprises for 2024" we published in our January 2024 issue of *Disruption Investor* read:

Biotech beats everybody.

AI breathes new life into biotech. Biotech stocks double in 2024 and end the year as the best-performing sector.

AI is breathing new life into biotech. Thousands of biotech companies around the world are using AI to help them discover and develop new exciting drugs more efficiently than ever before.

But it takes time. And the life AI is breathing into biotech hasn't translated into higher stock prices... yet.

The **SPDR S&P Biotech ETF (XBI)** finished the year exactly where it started. And the **iShares Biotechnology ETF (IBB)** fell 2.7%.

Meanwhile, our biotech stocks also performed rather poorly. We ended up selling all three during 2024—**Certara (CERT)**, **Repligen (RGEN)**, and **Halozyme Therapeutics (HALO)**—for an average loss of 13.3%.

But while biotech was our worst call of 2024, we think it could be our best call of 2025.

We expect biotech to significantly outperform the broader market in 2025 and end the year as the best-performing sector. So, stay tuned for some exciting recommendations in the biotech space.

Action to take: Extend your portfolio “insurance”

With stocks just 3% away from all-time highs, now is the perfect time to extend our portfolio insurance.

[As we wrote back in August](#), “We invest to build lasting wealth.” And protecting our gains is just as important as generating them.

Remember, investing isn’t just about making money—it’s about keeping it, too. There are plenty of “one-hit wonder” investors who strike it big during a stock market rally, only to give it all back on the other side.

That’s why we’re rolling over our SPY put options.

Rolling over means we’re extending the expiration date of our hedge further into the future. Specifically, we’re moving from our June 30, 2025 Puts to December 31, 2025 Puts, keeping the same \$450 strike price.

The new puts are trading at \$7.25—the same price we paid for our original hedge.

As we mentioned before, you want to buy insurance when you can, not when you’re forced to. With markets near record highs, this protection remains relatively cheap. It’s like buying umbrellas when the sun is shining.

While we remain optimistic about our portfolio of great businesses profiting from disruptive megatrends, current market valuations look a bit frothy. But this isn’t about timing the market—it’s about managing risk intelligently.

Think of these puts as insurance on your home. We hope to never need them but having protection lets us navigate potential volatility with confidence. More important, it allows us to stay invested in great businesses through any market turbulence.

To roll over your position, simply:

1. Sell your existing June 30, 2025 \$450 SPY Puts at the current market price.
2. Buy the December 31, 2025 \$450 SPY Puts at \$7.25 or lower.

Remember what we wrote in August: "Being prudent in times like these will let you come out on top no matter where the market's headed next."

That wisdom still holds true today. By extending our hedge, we're staying true to our philosophy of investing like we might be wrong, even when we're bullish.

This prudent approach to risk management is what allows us to sleep well at night while keeping our capital positioned in the disruptive megatrends that will shape the coming decades.

Several of our holdings will report earnings before the next *Disruption Investor* publishes on February 6. Here's a rundown on the upcoming earnings releases:

- **Taiwan Semiconductor (TSM):** January 10
- **Rockwell Automation (ROK):** January 24
- **Tesla (TSLA):** January 24
- **Fabrinet (FN):** January 27
- **Lam Research (LRCX):** January 27
- **Palantir Technologies (PLTR):** February 5

Please note the dates listed above are subject to change.

For the most up-to-date guidance on our current positions, [click here](#) to view the portfolio online.

A handwritten signature in blue ink that reads "Chris Wood Stephen McBride". The signature is written in a cursive, flowing style.

Chris Wood and Stephen McBride

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